

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SOUTHERN INTERNATIONAL CO., LTD., *Complainant*

v.

DAYNAMEZ GROUP OF COMPANIES LLC, *Respondent*.

DOCKET NO. 25-24

Served March 16, 2026

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER ON RESPONDENT’S MOTION TO DISMISS SECOND AMENDED COMPLAINT

This matter came on for consideration of: 1) Respondent’s Motion to Dismiss the Second Amended Complaint and Exhibits A-C filed February 20, 2026 (“Motion”); 2) Complainant’s Opposition to Respondent’s Motion to Dismiss the Second Amended Complaint filed March 6, 2026 (“Opposition”); and 3) Respondent’s Reply to Complainant’s Opposition to Respondent’s Motion to Dismiss the Second Amended Complaint and affidavit with Exhibits A- C filed March 13, 2026 (“Reply”). (Dkt. 20, 21 and 22.) For the reasons set forth below, Respondent’s Motion is **DENIED** and the parties are ordered to comply with the schedule set forth below.

I. INTRODUCTION

A. Background

On January 23, 2026, Complainant filed a second amended complaint and Exhibits A-E alleging violations of 46 U.S.C. § 41102(c), 46 U.S.C. § 40901, and 46 U.S.C. § 40902. (Dkt. 18.) The second amended complaint was filed pursuant to the order entered January 16, 2026, on Respondent’s motion to dismiss the first amended complaint, which, *inter alia*, granted Complainant leave to amend. (Dkt. 17.) The first motion to dismiss challenged the existence of subject matter jurisdiction on the ground that Complainant failed to allege sufficient facts to establish that Respondent was a regulated entity, that no actions constituting violations of the Shipping Act were alleged, and that the dispute between the parties constituted a breach of contract action. (Dkt. 13.) With respect to the jurisdictional challenge, Respondent argued Complainant did not allege that Respondent was a freight forwarder and failed to allege sufficient facts to create a plausible claim that Respondent held itself out as an NVOCC.

In the order on the motion to dismiss the first amended complaint, I found that there was no plausible claim that Respondent acted as a freight forwarder pursuant to the definition set forth in 46 U.S.C. § 40102(19) because the shipments at issue were transported from Vietnam to the United States. At the same time, I found that although there were insufficient allegations in the amended complaint to support a plausible claim that Respondent held itself out as an

NVOCC, Complainant's opposition brief contained argument indicating that amendment would not be futile. Accordingly, Complainant was granted leave to file a second amended complaint to establish Respondent's status as a regulated entity. With respect to the sufficiency of the Shipping Act violations alleged, I found that the amended complainant alleged sufficient facts to make out a plausible claim for Shipping Act violations pursuant to 46 U.S.C. § 41102(c), 46 U.S.C. § 40901, and 46 U.S.C. § 40902 in the event that Complainant ultimately establishes that subject matter jurisdiction exists.

The seminal allegations in the second amended complaint are consistent with those in the first amended complaint; however, additional facts are alleged to support that Respondent held itself out as an NVOCC and acted as an NVOCC. Additionally, the second amended complaint incorporates by reference the attached Exhibits A – E, which include the agency agreement executed between the parties, a screenshot from Respondent's website, email exchanges between the parties, WhatsApp messages between the parties, and a list of the containers at issue.

Because the Shipping Act violations alleged in the second amended complaint mirror those in the amended complaint and those allegations were found sufficient to state a plausible claim for relief, this order shall not address the sufficiency of the Shipping Act violations alleged in the second amended complaint. Suffice it to say that for the reasons set forth in the Order on Motion to Dismiss Amended Complaint, I find that the allegations in the second amended complaint are sufficient to set forth plausible claims for violations of 46 U.S.C. § 41102(c), 46 U.S.C. § 40901, and 46 U.S.C. § 40902. The order on the first motion to dismiss also found that the existence of a contract dispute between the parties does not deprive the Commission of its exclusive jurisdiction to adjudicate violations of the Shipping Act. Thus, Respondent's argument that this matter is merely a contract dispute is again rejected for the same reason. As these issues have been previously decided, in order to promote judicial efficiency this order will only address the arguments raised in the current motion to dismiss that were not resolved by the prior order.

Complainant alleges in the second amended complaint that it is a limited liability company and ocean transportation intermediary organized and operating under the laws of Vietnam with its principal place of business located in Ho Chi Minh City, Vietnam, and that all relevant times it acted as a shipper as defined by 46 U.S.C. § 40102(23). (Second Amended Complaint ¶ 9.) Complainant alleges that Respondent is a limited liability company organized and operating under the laws of the state of Virginia with its principal place of business located in Fairfax, Virginia. (Second Amended Complaint ¶ 10.) Complainant alleges that Respondent held itself out as a Non-Vessel Operating Common Carrier ("NVOCC") and performed NVOCC services with respect to hundreds of shipment of goods from Vietnam to the United States without a valid OTI license and surety bond in violation of 46 U.S.C. §§ 40901 and 40902. (Second Amended Complaint ¶¶ 11-14, 46, 47.) Complainant alleges that Respondent engaged in unreasonable practices with respect to 241 separate shipments of 558 containers by collecting from Complainant a total of \$2,615,650.87 in ocean freight payments but failing to pay those funds to the downstream carriers. (Second Amended Complaint ¶¶ 52, 53.) Complainant alleges that Respondent's practice of misappropriating freight funds caused the underlying carriers to exercise maritime liens and refuse to release at least 558 containers in United States ports. (Second Amended Complaint ¶ 55.)

B. Argument of the Parties

Respondent argues in the Motion to dismiss that the second amended complaint is deficient for the following reasons: 1) there are inadequate allegations to establish jurisdiction under the Shipping Act (Motion ¶¶ 2); 2) there are insufficient facts to establish that Respondent is an NVOCC (Motion ¶¶ 3, 4, 19, 20); 3) Complainant's allegations constitute a contract dispute between two agents over payments rather than a Shipping Act violation (Motion ¶ 5); 4) the allegations include lengthy paragraphs with numerous emails in violation of the short and plain statement requirement of FED. R. CIV. P. 8(a)(2) and the simple, concise, and direct requirement of FED. R. CIV. P. 8(d)(1) (Motion ¶ 6); 5) Complainant's allegations fail to state a claim upon which relief may be granted pursuant to FED. R. CIV. P. 12(b)(6) (Motion ¶ 6); and 6) Respondent was not paid for the shipments in question and is not responsible for any restraint of cargo (Motion ¶¶ 26, 27.)

Complainant argues in the Opposition that: 1) the motion to dismiss is procedurally improper (Opposition ¶ 1); 2) the second amended complaint sets forth a plausible claim establishing both Respondent's NVOCC status and subject matter jurisdiction (Opposition ¶ 2); and 3) the second amended complaint sets forth a plausible claim for Shipping Act violations pursuant to 46 U.S.C. § 41102(c), 46 U.S.C. § 40901, and 46 U.S.C. § 40902 (Opposition ¶ 3).

Respondent argues in the Reply that: 1) the second amended complaint is not concise and needs to be broken down into manageable paragraphs in order for Respondent to respond; 2) the second amended complaint fails to set forth sufficient facts to support a plausible claim that Respondent is an NVOCC; 3) the agency agreement executed by the parties does not state that Respondent will provide NVOCC services and that any ambiguity in the contract must be construed against Complainant as the drafter; 4) Complainant is licensed by the FMC and is a sophisticated entity that either knew or should have known Respondent's status as a non-licensed entity; 5) the second amended complaint fails to meet Complainant's burden of proof to establish jurisdiction; 6) Complainant does not dispute that other downstream entities licensed by the FMC as NVOCCs issued the bills of lading for the shipments at issue; 7) the affidavit attached to the Reply establishes that Respondent owes no money to Complainant and that Complainant owes money to Respondent; 8) Respondent's website does not establish that it is an NVOCC because it references outbound cargo, not inbound cargo; and 9) Respondent was not the NVOCC on any of the shipments at issue, all of which were handled by NVOCCs located in Vietnam.

II. APPLICABLE LAW

A. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Commission Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). FED. R. CIV. P. 12; *see also Mitsui*

O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011).

“Proper jurisdiction for a federal court is fundamental and necessary before touching the substantive claims of a lawsuit.” *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223 (5th Cir. 2012). The “party asserting subject-matter jurisdiction, has the burden of proving its existence by a preponderance of the evidence.” *Garanti Finansal Kiralama A.S. v. Aqua Marine & Trading, Inc.*, 697 F.3d 59, 65 (2d Cir. 2012).

Under Federal Rule 12(b)(1), “there are two different types of jurisdictional attacks. In a factual attack, a court may consider matters outside the pleadings. In that situation, the presumption of truthfulness normally granted allegations does not apply.” *MAVL Capital*, 2020 WL 13512925, at *4 (citations omitted). Under a Federal Rule 12(b)(1) facial attack on subject matter jurisdiction, “the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. Consequently, complainants have the same procedural protection afforded under Rule 12(b)(6),” that is, “all well-pleaded allegations are accepted as true and interpreted in the light most favorable to the complainant. *MAVL Capital*, 2020 WL 13512925, at *5 (citations omitted). When “jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)).

“On a motion to dismiss for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6), courts will dismiss a claim if the plaintiff’s complaint fails to plead ‘enough facts to state a claim for relief that is plausible on its face.’” *Cornell v. Princess Cruise Lines, Ltd.*, Docket No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Under this standard, “the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MAVL Capital*, 2020 WL 13512925, at *5. “When evaluating a motion to dismiss for failure to state a claim, the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice.” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *1 n.1 (FMC Dec. 18, 2015).

“A claim ‘has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.’” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *12, (FMC Aug. 1, 2011) (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009)). The complaint’s factual allegations must be enough to raise a right to relief above the speculative level and must nudge claims across the line from conceivable to plausible. *Cornell*, 2014 WL 5316340, at *6. “Mere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 557). “Where a complaint pleads facts that are merely consistent with a defendant’s liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Cornell*, 33 S.R.R. at 620 (citing *Iqbal*, 446 U.S. at 678). The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at *2 (M.D. Tenn. 2014).

In this case, Respondent alleges that the second amended complaint contains insufficient allegations to establish jurisdiction under the Shipping Act or that Respondent is an NVOCC. (Motion ¶¶ 2, 3, 7.) Thus, Respondent makes a facial jurisdictional attack pursuant to FED. R. CIV. P. 12(b)(1) and asserts that Complainant fails to state a claim upon which relief can be granted pursuant to FED. R. CIV. P. 12(b)(6). In both cases, the plausible claim standard under FED. R. CIV. P. 12(b)(6) applies.

B. Jurisdiction

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). The Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission's obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006). Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *MCS Industries*, 2024 WL 95383, at *7.

Chapter 411 of Part A, Subtitle IV, of Title 46 contains the codification of “Prohibitions and Penalties” under the Shipping Act, amended and codified, at 46 U.S.C. §§ 41101 through 41110. Section 41102 sets forth certain “General Prohibitions” while other sections in Chapter 411 address prohibitions specific to certain categories of entities regulated under the Shipping Act. For example, Section 41104 prohibitions are applicable to “Common Carriers” and Section 41106 prohibitions are applicable to “Marine Terminal Operators.”

Thus, the Commission has jurisdiction over specified regulated entities that include, *inter alia*, ocean common carriers (“OCC”) and non-vessel operating common carriers (“NVOCC”). (See, e.g., 46 U.S.C. §§ 40102(7), 40102(17), 41102(c), 41104(2), 41104(3), and 41105(1)). A common carrier is:

a person that: holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

46 U.S.C. § 40102(7).

An NVOCC is a common carrier that does not operate the vessels by which the ocean transportation is provided; and is a shipper in its relationship with the ocean common carrier. 46 U.S.C. § 40102(17). The definition of “shipper” is broad, and includes not only the cargo owner, but also “the person to whom delivery is to be made” and “a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.” 46 U.S.C. § 40102(23).

Although NVOCCs usually do not own or operate vessels that actually carry the cargo, they lease facilities and services from other firms—making them the “common carrier[s]” responsible for transportation of the cargo from origin to destination. *Landstar Express America, Inc. v. FMC*, 569 F.3d 493, 495 (D.C. Cir. 2009) (citation omitted).

C. NVOCC Status

In order for an entity to operate as an NVOCC, the entity must meet the Shipping Act's definition of a common carrier. Specifically, it must: (1) hold itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (2) assume responsibility for the transportation from the port or point of receipt to the port or point of destination; and (3) use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7); *see also MAVL Capital Inc. v. Marine Transport Logistics and Dmitry Alper*, 2020 FMC LEXIS 216, *8, FMC Docket No. 16-16, Memorandum Opinion and Order (“FMC Order”) at 11 (FMC Oct. 29, 2020).

In addition, there must be a link between the respondent's regulated status and the conduct that allegedly violates the Shipping Act. *Auction Block Co. v. Fed. Mar. Comm'n*, 606 Fed. App'x. 347, 347-48 (9th Cir., 2015); *see also Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding) (“The central question in this case is whether, and when, Marine Transport was a regulated entity - common carrier, marine terminal operator, or OTI - with respect to the conduct at issue.”)

The Commission has found that no single factor of an entity's operation is determinative of its status as a common carrier. *Rose Int'l, Inc. v. Overseas Moving Network Int'l Ltd., et al.*, 29 S.R.R. 119 (FMC 2001). In *Rose*, the Commission made the following statement about determinations of common carrier status:

[T]he Commission must evaluate the indicia of common carriage on a case-by-case basis.... The most essential factor is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the other relevant factors include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and method of establishing and charging rates.

Id. at 162 (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC 1999), and *Tariff Filing Practices, Etc., of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC 1965)).

In addition, the Commission has said that factors such as solicitation and advertising are relevant to a determination of whether an entity is holding itself out to the public as a provider of transportation services. *Tariff Filing Practices, Etc., of Containerships, Inc.*, 9 F.M.C. at 62 n.7. The Commission also clarified that a common carrier does not lose common carrier status if it uses shipping contracts other than bills of lading. *Id.* at 64.

The intention of the parties at the time of agreement, even in the absence of other factors, is sufficient to establish that a shipper acted as an NVOCC for a given shipment. *See Earlean Edwards Dukart v. Ocean Star Int'l, Inc.*, Dkt. No. 20-03, 2020 WL 3994385, at *7 (ALJ July 10, 2020) (Order Granting Voluntary Dismissal). Such intention can be discerned from the course of conduct between the parties. *See Crocus*, 2020 WL 7633362, at *15-16.

In *CMI Distribution, Inc. v. Service by Air, Inc. (f/k/a SBA Consolidators, Inc.)*, and *LAS Freight Systems, Ltd.*, Dkt. 17-05, 2021 WL 3367603 (FMC July 26, 2021), the FMC affirmed the ALJ's finding that the respondent assumed responsibility as an NVOCC when respondent was the "sole conduit for information about its shipments," and the shipper "did not have direct contact with NVOCCs, drayage companies, or other companies that transported or handled its cargo." 2021 WL 3367603 at *9. The FMC found it was of special import that the shipper did not select any of the entities that transported its cargo but, rather, engaged the respondent who "took care of everything." *Id.* at *10.

In *CMI*, respondent SBA unsuccessfully argued that it was not a common carrier or NVOCC but rather an "ocean freight forwarder." *CMI*, 2021 WL 3367603, at *5. The FMC found this argument unpersuasive given that, in all aspects of its handling of shipments, SBA clearly acted as an NVOCC, including holding itself out as an NVOCC and assuming responsibility for the transportation of shipments by issuing shipping documents.

Freight invoices charging entities for ocean freight charges and marking up charges incurred constitute evidence of assuming responsibility for cargo. *See CMI*, 2021 WL 3367603, at *11; *EuroUSA*, 2012 WL 13418693, at *5334. Shipping documents and emails that trace the transportation services performed can also provide evidence that an entity is acting as a common carrier for those services. *See CMI*, 2021 WL 3367603, at *13.

Self-serving and limiting language in bills of lading are not determinative of the issue if a carrier was acting as an NVOCC. *See CMI*, at *11, *14. Rather, "an entity's conduct, not the labels it applied, determine NVOCC status." *Id.*; *see also Worldwide Relocations, Inc. – Possible Violations of the Shipping Act*, Dkt. 06-01, 2012 WL 11914713, at *5 (FMC March 15, 2012) ("[t]he Commission has indicated that it will look beyond documentary labels"); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 66 (F.M.C. 1965) ("it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status").

III. DISCUSSION

A. Allegations in Second Amended Complaint

In this case, the allegations in second amended complaint and exhibits incorporated therein by reference are taken as true and all reasonable inferences are drawn in the complainant's favor. *MAVL Capital*, 2020 WL 13512925, at *5. The relevant allegations include:

- Complainant is a limited liability company duly organized and existing under the laws of Vietnam, with its principal place of business at 64 Truong Dinh, Xuan Hoa Ward, Ho Chi Minh City, Vietnam. Complainant is a licensed Ocean Transportation Intermediary ("OTI") and is registered with the Federal Maritime Commission ("FMC") under Organization Number 033811. At all times relevant to this Complaint, Respondent acted as a "shipper" as defined by 46 U.S.C. § 40102(23). (Second Amended Complaint ¶ 9.)
- Respondent is a limited liability company organized and existing under the laws of the Commonwealth of Virginia, with its principal place of business located at 4000 Legato Road, Suite 1100, Fairfax, VA 22033. (Second Amended Complaint ¶ 10.)
- On October 21, 2023, Respondent sent a email to Complainant that stated: "Daynamez Shipping is newly established freight forwarding company in USA and looking for reliable agent in your area to Handle our Air and sea freight either Collect or prepaid both if possible, kindly let me know. Also, keep in mind that we can offer the best custom clearance service and local transportation almost all over USA and Canada and our offer is very competitive since we have our own equipment and warehouse facilities for Reefer and dray cargo as well." (Exhibit C, at 3-4.)
- On October 23, 2023, Respondent sent an email to Complainant that included the following statement: "We do have a very strong relationship with a few good shipping lines such as Maersk and Hapag and will offer you the best Rates and check that option too. I will also send you our enquires for our project cargo from Vietnam to various places." (Second Amended Complaint ¶ 17; Exhibit C, at 2.)
- On October 24, 2023, Respondent sent an email to Complainant that included the following statement: " I must offer you Net/Net and you mark up the profit and share it with each other on 50/50 otherwise in this tough market of today's competition both will not make it unless we both offer Net/Net and share our profit period." (Second Amended Complaint ¶ 17; Exhibit C, at 8.)
- On December 1, 2023, Complainant and Respondent entered into an agency agreement appointing each other as their sales and break bulk agent for Vietnam on a nonexclusive basis. The agreement covers airfreight and ocean shipments to and from stated countries. The parties agreed to consign air/ocean cargo to each other or to an agent nominated by the receiving partner. The parties agreed that the profit on air/ocean transport on any mutually developed business would be split equally, and

calculated as the difference between the buying rate from the airline shipping line and selling rate to the customer. The parties agreed to exchange details of operational procedures names of key personnel, Tariffs, and any further information deemed useful to maintain and increase mutual cooperation. (Exhibit A, Article 1, Article 2.2, Article 4.1 and 4.2, Article 5.4.)

- Respondent held itself out to the public and to Complainant as an NVOCC providing door-to-door international ocean transportation services. Respondent directly solicited business by offering “Net/Net” freight rates, assumed responsibility for the payment of underlying ocean carriers, and controlled manifestation process for shipments destined for the United States. (Second Amended Complaint ¶ 4.)
- Respondent's carrier status was distinct from that of a mere agent as is demonstrated by its consistent use of "Net/Net" pricing. In multiple electronic communications with Complainant, Respondent provided "Net/Net" offers. Unlike a sales agent who earns a disclosed commission, Respondent acted as a principal by purchasing space from underlying carriers at one rate and reselling it to Complainant at a marked-up "Net/Net" rate, thereby assuming the financial risk of the voyage. (Second Amended Complaint ¶ 19; Exhibit C, at 33.)
- Respondent sent the booking confirmations with details of the shipments to Complainant. (Second Amended Complaint ¶ 20; Exhibit C, at 36-40.)
- Respondent acted as the principal contracting party for the ocean transportation, assuming the liability of a carrier. In electronic communications to Complainant, Respondent explicitly stated that it would instruct and direct its partners, specifically Super Cargo Service and Kargosmart Vietnam, to issue House Bills of Lading ("HBL") for the subject shipments. Such instructions to issue HBLs are a quintessential function of an NVOCC acting as a principle and further establish that Respondent held itself out to be responsible for the transportation. (Second Amended Complaint ¶ 21; Exhibit C, at 43, 45, 50, and 51, Exhibit D, at 4-7.)
- Respondent directly issued arrival notice for Complainant's shipments. (Second Amended Complaint ¶ 23; Exhibit C, at 57, 58.)
- Respondent directly sent invoices to Complainant and directly received freight from Complainant. (Second Amended Complaint ¶ 22; Exhibit C, at 53, 55.)
- A screenshot from Respondent's website on January 1, 2026, states: “We provide domestic and international shipping services from all major USA/Canada main ports to Africa, Middle East, South Asia, Central Asia, and Europe. We are NVOCC.” It also states: “We provide domestic and international shipping and forwarding services from all major USA/ Canada main ports to Africa, Middle East, South Asia, Central Asia, and Europe. We are NVOCC having our own inventories of dry container, 20ft, 40ft, open top, Flat Rack as well as Reefer container. We can also move new & used automobiles, heavy equipment such as oil field equipment and construction

equipment. We can provide door to door service to Iraq, Russia, Yemen, Syria, and most CIS countries such as Uzbekistan, Tajikistan, Kazakhstan, Turkmenistan, and Azerbaijan via various ports. We are also pioneer in providing inland transports services by train and trucks to the entire CIS countries, Russia and Afghanistan. In addition, we are also providing logistical services for humanitarian projects around the world.” It also states: Daynamez Group is engaged in trading commodities worldwide and door-to-door international shipping and forwarding services.” (Second Amended Complaint ¶ 18; Exhibit B, at 2, 5.)

- Between October 2023 and October 2024, Respondent in its capacity as NVOCC provided ocean transport services to Complainant, handling a total of 487 shipments (1,015 containers). Respondent fulfilled its obligation for 246 shipments (457) containers, but failed to discharge its obligations for the remaining 241 shipments (558 containers) despite having received full freight payment. (Second Amended Complaint ¶ 24; Exhibit E, at 1-6.)
- Between August and October 2024, Complainant paid a total of \$2,615,650.87 to Respondent for the ocean freight and related charges of hundreds of shipments. However, instead of applying these funds to the respective ocean common carriers to ensure the release of the cargo, Respondent misappropriated the funds for its own purposes, resulting in the unlawful lien and detention of at least 558 containers at various U.S. ports. (Second Amended Complaint ¶¶ 5, 6; Exhibit E, at 7-10 .)
- Respondent provided transportation services without license from the Federal Maritime Commission ("FMC") and without maintaining a bond or other evidence of financial responsibility. (Second Amended Complaint ¶¶ 7, 14.)
- While Respondent utilized various "booking partners" and entities, including but not limited to Cargo Login LLC, Mahasagar Forwarders, Super Cargo Service, and Kargosmart Vietnam, these entities acted solely under the exclusive direction and control of Respondent. Respondent exercised total authority over the financial and operational aspects of the shipments, including the collection of all freight funds from Complainant and the subsequent instruction for cargo release or detention. (Second Amended Complaint ¶ 15.)

B. Complaint Makes Plausible Claim that Respondent is NVOCC

I find that the Second Amended Complaint is sufficient to establish that Respondent acted as an NVOCC because it contains sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp.*, 550 U.S. at 570. I also find that the Second Amended Complaint contains “factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft*, 556 U.S. at 678.

The facts alleged in the Amended Complaint make out a plausible claim that Respondent: (1) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (2) assumes responsibility for

the transportation from the port or point of receipt to the port or point of destination; and (3) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country in accordance with 46 U.S.C. § 40102(7).

The holding out element is satisfied by the information displayed on Respondent's website stating: "We are NVOCC having our own inventories of dry container, 20ft, 40ft, open top, Flat Rock as well as Reefer container. We can also move new & used automobiles, heavy equipment such as oil field equipment and construction equipment." (Second Amended Complaint ¶ 18; Exhibit B, at 2, 5.) For the reasons discussed more fully below, it is also evidenced by the course of conduct between the parties by virtue of Respondent being the sole conduit of information about the shipments.

Although Respondent argues that the website does not demonstrate holding out because it expressly states that Respondent's services are provided from the United States to foreign ports and not to the United States as is the case here, I find this argument to be unpersuasive. Unlike freight forwarders, who by definition dispatch shipments **from** the United States via common carrier, 46 U.S.C. § 40102(19)(A), transportation by an NVOCC involves shipments **between** the United States and a foreign port. 46 U.S.C §§ 40102(7)(A)(iii) and (17). As such, the website is sufficient to demonstrate that Respondent holds itself out as an NVOCC to the public.

The assumed responsibility element is satisfied under the standard set forth in *CMI Distribution, Inc.*, 2021 WL 3367603, in which the Commission affirmed the ALJ's finding that the respondent assumed responsibility as an NVOCC when respondent was the "sole conduit for information about its shipments." In this case, the allegations in the second amended complaint support a finding that Respondent was the sole conduit for information about the shipments. In this regard, it alleges that Respondent: (1) solicited business by offering "Net/Net" freight rates, assumed responsibility for the payment of underlying ocean carriers, and controlled manifestation process for shipments destined for the United States (Second Amended Complaint ¶ 4); (2) acted as a principal by purchasing space from underlying carriers at one rate and reselling it to Complainant at a marked-up "Net/Net" rate, thereby assuming the financial risk of the voyage (Second Amended Complaint ¶ 19; Exhibit C, at 33); (3) sent the booking confirmations with details of the shipments to Complainant (Second Amended Complaint ¶ 20; Exhibit C, at 36-40); (4) acted as the principal contracting party for the ocean transportation and directed its partners Super Cargo Service and Kargosmart Vietnam to issue House Bills of Lading for the subject shipments (Second Amended Complaint ¶ 21; Exhibit C, at 43, 45, 50, and 51; Exhibit D, at 4-7); (5) directly issued arrival notices for Complainant's shipments (Second Amended Complaint ¶ 23; Exhibit C, at 57, 58); (6) directly sent invoices to Complainant and directly received freight from Complainant (Second Amended Complaint ¶ 22; Exhibit C at 53, 55); and (7) exercised total authority over the financial and operational aspects of the shipments, including the collection of all freight funds from Complainant and the subsequent instruction for cargo release or detention because its booking partners operated under its exclusive direction and control. (Second Amended Complaint ¶ 15.)

The use of a vessel on the high seas between a United States port and a foreign port is satisfied by the allegation that Respondent transported 1015 containers by ocean carrier from Vietnam to the United States. (Second Amended Complaint ¶ 24; Exhibit E, at 1-6.)

Although Respondent argues that it did not act as the NVOCC for the shipments at issue because the bills of lading were issued by other NVOCCs, specifically Super Cargo Service Co, Ltd. and Kargosmart Global Vietnam Co., Ltd., (Motion ¶ 9), that fact is not determinative despite that it is relevant to the inquiry at hand. In this regard, “it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status.” *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 66 (F.M.C. 1965.)

Respondent’s argument that it does not meet the definition of common carrier necessary to sustain a finding that it is an NVOCC because it was not a shipper in relation to the ocean common carrier, (Motion ¶¶ 9, 19), is also not persuasive. By definition, a shipper includes an NVOCC that accepts responsibility of all charge applicable under the tariff or service contract. 46 U.S.C. § 40102 (23)(E). As such, the factual allegations supporting a plausible claim that Respondent acted as an NVOCC and accepted responsibility for all charges also supports a plausible claim that Respondent acted as a shipper with respect to the shipments at issue.

For the foregoing reasons, I find that the Second Amended Complaint sets forth a plausible claim that Respondent held itself out as and acted as an NVOCC, which is sufficient to withstand Respondent’s motion to dismiss at this early stage of the proceedings. This fact notwithstanding, Complainant bears the burden of proof to establish this fact with competent evidence in order to prevail in a decision on the merits under the applicable totality of the circumstances standard.

C. Complaint Makes Plausible Claim of Jurisdiction

The plausible claim that Respondent held itself out as and acted as an NVOCC establishes that the FMC has jurisdiction to adjudicate the Shipping Act violations alleged. The FMC has authority to adjudicate a claim under 46 U.S.C. § 41102(c) against an ocean transportation intermediary, which by definition includes an NVOCC. 46 U.S.C. § 40102(20). It necessarily follows that the plausible claim of NVOCC status establishes that the FMC has jurisdiction to adjudicate the Section 41102(c) claim against Respondent.

Any person may file a complaint with the Commission alleging a Shipping Act violation, including allegations under 46 U.S.C. §§ 40901 and 40902. 46 U.S.C. § 41301(a). Both of these statutory violations may be brought against any person who advertises, holds oneself out, or acts as an ocean transportation intermediary without an FMC license or surety bond as is alleged in the second amended complaint. (Second Amended Complaint ¶¶ 7, 14.) Thus, my finding that the second amended complaint makes out a plausible claim that Respondent held itself out as and acted as an NVOCC establishes that the FMC has jurisdiction to adjudicate the Section 40910 and 40902 claims against Respondent.

D. Complaint Satisfies Pleading Requirements

Respondent’s argument that the second amended complaint fails to satisfy the short and plain statement requirement of FED. R. CIV. P. 8(a)(2) and the simple, concise, and direct requirement of FED. R. CIV. P. 8(d)(1), (Motion ¶ 6), are not well founded. The second amended complaint is written in plain language that is clear and not ambiguous. It consists of 58

sequentially numbered paragraphs, each containing distinct allegations. This satisfies the relatively low basic pleading standard required by the applicable rules.

Respondent's contention that it cannot answer because certain paragraphs are lengthy or contain bullets with multiple email/WhatsApp messages is not persuasive. The longest paragraph contains only nine lines of text, and most contain between four and six.

To the extent that individual sentences within a paragraph require a separate response, the standard pleading practice is for the answer to state that it is responding to a particular sentence within a paragraph by identifying its relative position within the paragraph, namely by specifying that the response applies to the first sentence of the paragraph, second sentence of the paragraph, third sentence of the paragraph, etc. Additionally, because there are only between two and five email and WhatsApp bullets in any paragraph, Respondent can easily respond with precision using the same convention.

Accordingly, I find that the second amended complaint satisfies the limited pleading requirements set forth in 46 C.F.R. § 502.62(a).

E. Complainant's Alleged Debt Does Not Deprive FMC of Jurisdiction

Respondent's argument that Complainant actually owes it money does not deprive the FMC of its exclusive jurisdiction to adjudicate claims for violations arising under the Shipping Act. *See MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024).

IV. Order

Upon consideration of the record and the arguments of the parties, it is hereby

ORDERED that Respondent's Motion to Dismiss the second amended complaint (Dkt. 20) is **DENIED**. It is

FURTHER ORDERED that Respondent shall file an answer within ten days of service of this Order in accordance with 46 U.S.C. 502.62(b)(1) (Dkt. 5). It is

FURTHER ORDERED that the parties shall comply with the requirements set forth in the Initial Order, including but not limited to filing a joint status report with proposed schedule within 15 days of service of the answer.

MARY A. HERVEY -S Digitally signed by MARY A.
HERVEY -S
Date: 2026.03.16 11:15:32 -04'00'
Mary Apostolakos Hervey
Administrative Law Judge